

Board of Directors Package

Vanguard Auto Parts — Q4 2020

Board Meeting: February 6, 2021 | Confidential — Board Use Only

Date	February 6, 2021
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, D. Okafor (Atlas Crossing); B. Harmon (CEO); J. Whitfield, C. Moore (Independent)
Management	B. Harmon (CEO); T. Nguyen (CFO); S. Park (COO); M. Ellis (SVP Sales)
Deal Team	M. Tang (MD), D. Okafor (Principal), N. Patel (VP), A. Ross (Associate)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

Executive Summary

Vanguard Auto Parts delivered Q4 2020 revenue of \$147.0M and EBITDA of \$12.4M (8.4% margin), ahead of budget by 3.1%. SKU rationalization analysis complete: 28,000 slow-moving SKUs identified for deactivation, expected to release \$18M working capital.

Financial Performance

Metric	Q4 2020 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$147.0M	\$142.6M	+3.1%	—	—
Gross Profit	\$32.6M	—	—	—	—
Gross Margin %	22.2%	—	—	—	—
EBITDA	\$12.4M	\$11.7M	+6.0%	—	—
EBITDA Margin %	8.4%	—	—	—	—
D&A	(\$3.5M)	—	—	—	—
EBIT	\$8.9M	—	—	—	—
Interest	(\$6.9M)	—	—	—	—
Net Leverage	6.7x	—	—	Entry: 6.8x	—
LTM EBITDA	\$52.7M	—	—	Entry: \$52.7M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Target
E-commerce % of Revenue	8.9	8.0	Target: 28.0
SKU Count (active)	185,000.0	182,000.0	Target: 248,000.0
Warehouse Locations	12.0	12.0	Target: 19.0
Fill Rate %	94.4	94.2	Target: 97.8

Strategic Initiatives

Initiative	Status	Detail
ERP / NetSuite rollout	On track	Phase 1 (GL, AR/AP) live in Columbus HQ; DC rollout Q1 2021
E-commerce portal build	In progress	Platform selected; build begins Q1 2021; launch target Q3 2021
SKU rationalization	Initiated	28,000 SKUs flagged for deactivation; working capital release \$18M
Detroit Auto bolt-on scan	Active	Detroit Auto Supply NDA signed; management meeting Jan 2021

Key Risks & Mitigation

Risk	Severity	Mitigation
COVID supply chain	High	Tier-2 supplier disruptions; 94.2% fill rate vs 96% target — actively managing
Integration pace	Medium	IMO cadence established; weekly steering committee
Price competition	Low	Aftermarket demand structural; 3 national competitors retreat on pricing

Next Quarter Outlook

Q1 Q1 2021 expected \$149.5M. E-commerce portal launch Q3 2021. Detroit Auto diligence Q1 2021. SKU rationalization working capital release H1 2021.

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